

Where P2P Payment Apps Break: Evidence from 124,087 CFPB Complaints

Khushi Jha · September 30, 2026 · Cash App, Zelle, PayPal/Venmo and banks · SQL (DuckDB) analysis of public CFPB data

Bottom line: More than half of P2P and wallet complaints are about money leaving an account without the customer's real consent, unauthorized transactions are the fastest-growing problem, and outcomes differ sharply by app. The biggest product opportunity is **stopping bad payments before they happen and resolving them inside the app.**

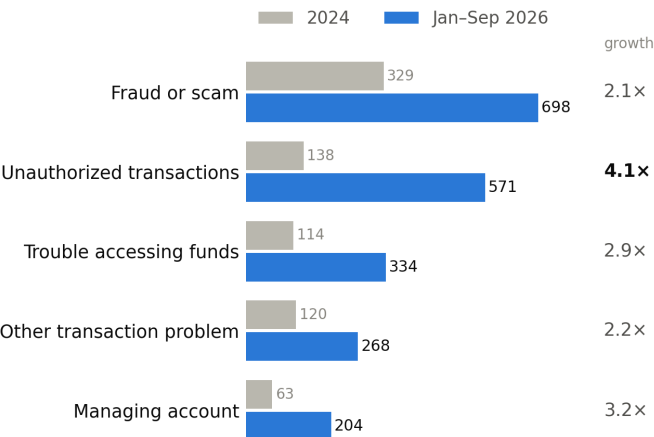
Data & method

CFPB Consumer Complaint Database, product *Money transfer, virtual currency, or money service*, sub-products *Domestic (US) money transfer* and *Mobile or digital wallet*: 124,087 complaints, Jan 2022 to Sep 2026. Main comparison: **2024** (10,461 complaints) vs **Jan–Sep 2026** (20,894), per month so 12 and 9 months compare fairly. **2025 is excluded:** January 2025 alone had 48,238 complaints, 87.2% under one vague issue and 95.9% against Cash App or Zelle, a filing wave that coincides with CFPB actions against Zelle's operator and banks (Dec 20, 2024) and Block (Jan 16, 2025). It took until about Aug 2025 to return to normal.

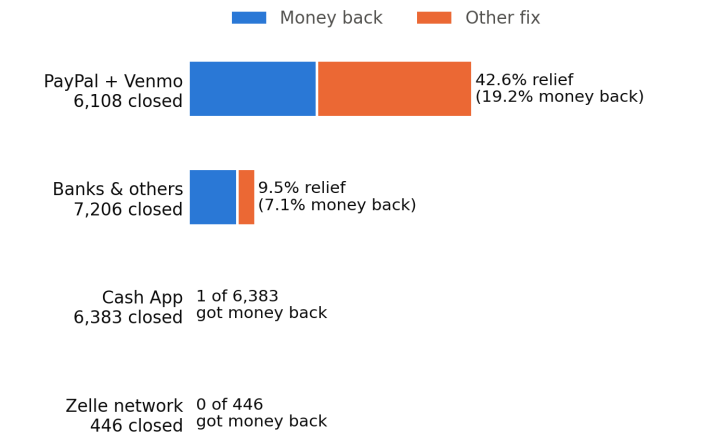
Three insights and what I would build

Insight (from the data)	Recommendation	Success metric
1. Consent is the core failure. 54.7% of Jan–Sep 2026 complaints (11,428 of 20,894) were fraud/scams or unauthorized transactions, vs 53.6% in 2024. Stable share = structural problem, not a blip.	Risk-based "pause & confirm." For first-time recipients, unusual amounts or new devices, show a scam-specific warning and require confirmation before money leaves.	Fraud/scam complaints per 10K active users; scam loss rate; warning abandon rate
2. Unauthorized transactions grow fastest. 138 to 571 complaints/month (4.1×) vs 2.7× for all complaints (872 to 2,322/month); share rose from 15.9% to 24.6%. Account access issues also up 2.9–3.2×.	One-tap "I didn't make this." Lock account and open a dispute in one flow, with real-time transaction alerts and step-up verification on new devices.	Unauthorized-transaction complaints/month; time from alert to lock
3. Similar volume, very different outcomes. Cash App (6,490) and PayPal + Venmo (6,341) had similar Jan–Sep 2026 volume. PayPal + Venmo reported money back in 19.2% of closed complaints (42.6% any relief); Cash App in 1 of 6,383.	In-app dispute tracker. Show status, timeline, decision reason and appeal path, so customers get answers in the app instead of escalating to a federal regulator.	Share of disputes escalated to CFPB; relief rate; time to resolution

Complaints per month, top 5 issues: 2024 vs Jan–Sep 2026



How closed complaints ended, Jan–Sep 2026 (company-reported)



Insights 1 and 2. Per-month rates make 12 vs 9 months comparable.

Insight 3. Zelle refunds are usually issued by banks (in "Banks & others").

Caveats

CFPB complaints are escalations by a self-selected group, not all users, so I rely on shares and comparisons more than raw volume. Complaint growth may partly reflect more awareness of the CFPB. Outcomes are company-reported. Venmo is filed under PayPal Holdings and cannot be separated. Zelle's operator reports 0% relief because refunds usually come from the customer's bank (in "Banks & others": 7.1% money back). Sep 2026 is likely incomplete due to publication lag.

SQL (6 queries), data snapshot and charts: github.com/khushi-jha02/cfpb-payments-analysis